

to divest the securities and pay a large dividend. When management resisted, he launched a proxy fight and won a board seat. Several distributions totaling \$110 a share followed—a huge windfall.

Graham's pursuit of Northern, and of other former Standard Oil subsidiaries, brought him into contact with the eminent financier Bernard Baruch. Graham recommended ostensibly safe stocks and Baruch gobbled them up. As the bull market accelerated, Baruch and Graham each worried about the evident excess. Baruch observed that it was absurd for the Dow Jones Industrials to be yielding only 2% when short-term fixed-income securities were yielding 8%. Graham tellingly replied, "By the law of compensation, someday the reverse should happen." Yet Graham was not quite prepared. In 1928, his partnership, the Benjamin Graham Joint Account, gained 60%, besting even the 49%² rise in the Dow. Ben's share of the profits topped \$600,000 (nearly 10 times what Babe Ruth was making at the time). Graham had also begun teaching an evening course at Columbia; many of his students were Wall Street pros eager for tips. Seemingly, Graham was on top of the world.

In October 1929, however, the market broke. In 1930, when Graham presumed the worst was over, the Joint Account invested heavily, again on margin. According to Irving Kahn, his assistant, Graham "did not realize that all operations involving borrowing, including his own," were at risk. The selling was far from over. By 1932, the depths of the Great Depression, the Joint Account had fallen 70%. Graham and Newman went five years without salary. Graham's wife returned to work as a dance instructor, and the family abandoned their posh Central Park duplex for a rear apartment.

It was then that Graham and Columbia's David Dodd signed with McGraw-Hill to write *Security Analysis*. (Although Dodd, then an

² Not including dividends.